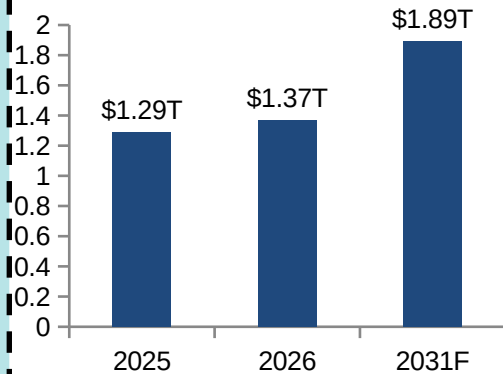


Hotels and Hospitality

Industry Size and Growth

Global Hotels Market Size (USD Trillion)



India Tourism & Hospitality- Size and Growth

Tourism sector contributed Rs. 15.73 lakh crore (US\$177.4 Bn) to India's GDP (provisional NAS 2025)
Travel & Tourism GDP contribution: US\$249.3 Bn (2024) → US\$268.7 Bn (2025E) → US\$501.1 Bn (2035F), per WTTC. ([source](#))
Indian hotel market (incl. domestic, inbound, outbound): ~US\$32 Bn (FY20) → ~US\$52 Bn (FY27F)
Ambition: US\$1 trillion hotel industry contribution to GDP by 2047. ([source](#))
India growth trajectory: India's tourism sector is projected to reach Rs. 35 trillion (US\$488 Bn) by 2029, growing at 6.7% and accounting for 9.2% of the total economy. Hotel brand signings hit a record 64,118 keys across 586 properties in CY2025. ([source](#))

Graph- [Source](#)

Key players



Business Model and Industry Product Mix

Ownership / Operating Models

Owned / Leased

Capital-heavy; hotel operator owns real estate & operations; highest margin capture but highest capex & cyclicity exposure ([source](#))

Management Contract

Asset-light; brand operates for a fee (base + incentive) on assets owned by third-party developers/REITs — >95% of IHCL's FY25 signings were capital-light ([source](#))

Franchise / License

Brand licenses name, systems & reservations to an independent owner-operator for a fee — common in midscale/budget (Ginger, Lemon Tree, OYO) ([source](#))

Long-term Lease

Operator leases the asset for a fixed/variable rent — hybrid between owned and managed ([source](#))

Revenue Streams

Rooms revenue = Occupancy × ADR (RevPAR)- largest single line for most operators ([Link](#))

Food & Beverage- restaurants, bars, in-room dining

Banqueting, weddings & MICE- high-margin, event-led revenue; a structural growth driver called out across FY25-26 results ([Link](#))

Management & franchise fee income- IHCL's management fee income grew ~18-22% YoY through FY25/H1FY26, reflecting the asset-light pivot ([Link](#))

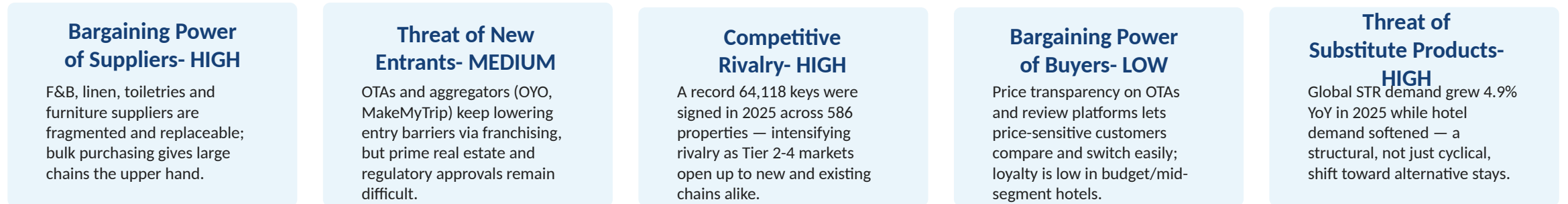
Ancillary businesses- flight/institutional catering (e.g., TajSATS), spas, retail, loyalty programmes ([Link](#))

Hotels and Hospitality

Value Chain (source)



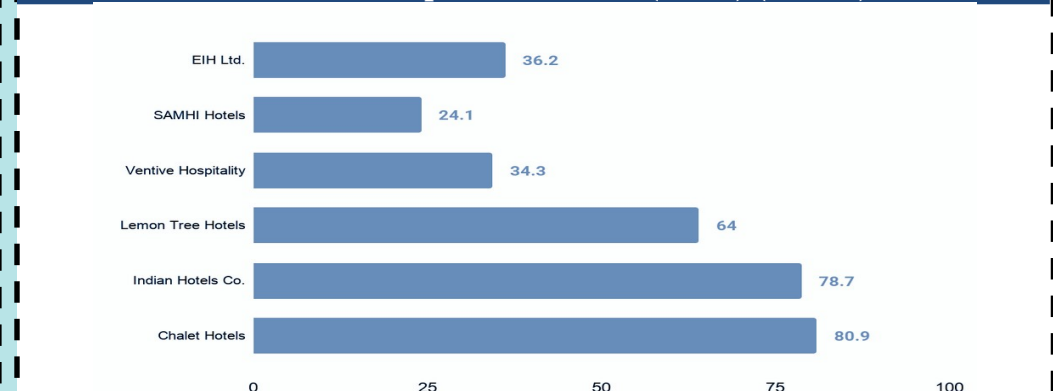
Porter's 5 Forces (source)



Balance Sheet (source)

Company	Debt Profile	Cash Position	P/B Ratio	ROCE / ROE
Indian Hotels Co. (IHCL)	Zero-debt structure	Rs. 2,847 Cr gross cash (Sep 2025)	8.00x	ROCE 16.44%
EIH Ltd. (Oberoi)	Zero-debt structure	Strong net cash position	3.92x	ROE 15.58% / ROCE 21%
Chalet Hotels	Moderate leverage	Growing operating cash flow	4.97x	Improving with occupancy
Lemon Tree Hotels	Moderate leverage	Positive operating cash flow	6.74x	Improving, asset-heavy base

Valuation Multiples- P/E Ratio (TTM) (source)



Hotels and Hospitality

Tourism Policies and Initiatives

- **Swadesh Darshan 2.0:** Developing **57 sustainable tourism destinations** through theme-based circuits. ([source](#))
- **PRASHAD Scheme:** Upgrading **pilgrimage and heritage destinations** through integrated infrastructure development. ([source](#))
- **NIDHI:** Creating a **national digital database** of tourist accommodations to support tourism planning. ([source](#))
- **SAATHI:** Promoting **safe and standardized hospitality practices** through self-certification and quality assessments. ([source](#))
- **Market Development Assistance (MDA):** Providing **financial support** for domestic tourism promotion and marketing. ([source](#))
- **Tourist Safety:** Strengthening tourist confidence through **Tourist Police, multilingual helplines, and safety initiatives**. ([source](#))
- **Tax Incentives:** **GST cuts and tax benefits** are improving affordability and encouraging hotel investments. ([source](#))
- **E-Tourist Visa:** E-visa access for **167 countries** has enhanced international tourist arrivals. ([source](#))
- **State-led Tourism Push:** States are investing in **eco-tourism, adventure tourism, MICE, heritage and hospitality infrastructure**. ([source](#))
- **Tourism Budget & Connectivity:** Higher tourism allocations and improved transport connectivity are accelerating sector growth. ([source](#))

Major Happenings (2025-26)

- **ITC Hotels** reported **FY25 revenue of Rs.3,333 crore (+44% YoY)** and **PAT of Rs.698 crore (+44%)**. Its portfolio crossed **150 hotels (14,000+ keys)** after signing **28 new hotels (2,790 keys)** in FY25, with a target of **220 hotels and 20,000+ keys by 2030**. ([source](#))
- **Indian Hotels (IHCL)** posted a strong **Q2 FY26**, with **net profit up 15% YoY to Rs.318.26 crore** and **revenue up 12% to Rs.2,040.89 crore**. The company now targets **700+ hotels by 2030**. ([source](#))
- **Hotel-sector investments** rose **67% YoY in 2025** to **Rs.5,011 crore (US\$567 million)** across **28 deals**. **Q1 2026 investments increased 58% YoY to Rs.1,636 crore (US\$185 million)**, driven by private equity, institutional investors and land monetisation. ([source](#))
- **Wellness Tourism:** India's wellness tourism could contribute **US\$18B to GDP by 2030**, driven by rising demand for wellness, heritage and spiritual travel. ([source](#))
- **Cruise Tourism:** Cruise passenger traffic is projected to grow **10x to 4M by 2032**, with India targeting **1.2M cruise visitors by 2030-31**. ([source](#))
- **Lighthouse Tourism:** Visitor footfall at lighthouses has increased by **400% since 2014**, reflecting growing interest in heritage and coastal tourism. ([source](#))
- **Intercity Travel:** Private bus operators carried **140M passengers in H1 FY26** with an average **76% occupancy**, indicating robust domestic mobility. ([source](#))
- **Travel Agencies:** India's travel market is expected to exceed **US\$125B by FY27**, with travel agents continuing to account for **50%+ of bookings**. ([source](#))

Unit Economics

IHCL Unit Economics — Selected Metrics

- **Consolidated RevPAR growth:** +9% (H1 FY26), +14% to ~₹8,400/night (Q1 FY27) ([source](#))
- **Standalone RevPAR:** ~₹11,000-18,800/night range across recent quarters (premium/luxury skew) ([source](#))
- **TRevPAR (Total RevPAR):** ₹15,800/night, +12% YoY (Q1 FY27) ([source](#))
- **Ginger (mid-scale, 'Lean Luxe'):** EBITDA margins above 50% — the highest-margin unit format in the portfolio ([source](#))
- **Management-fee income:** +21-30% YoY — the fastest-growing, highest-margin revenue line ([source](#))

Key Business Risks

- **Structural STR competition-** Short-term rentals grew 4.9% YoY in 2025 while hotel demand softened — signaling a durable, not cyclical, shift in consumer preference. ([source](#))
- **Persistent cost & labor inflation-** Labor is the largest cost center (up to 60% of costs in some markets); F&B, insurance and utility costs continue to rise faster than rates in parts of the segment. ([source](#))
- **Geopolitical & aviation disruption-** West Asia conflict impacted IHCL's Dubai and UK operations in FY26; rising crude prices add aviation-linked cost pressure on inbound travel. ([source](#))
- **GST input tax credit loss-** The move to 5% GST (without input tax credit) on budget rooms is expected to shave ~2pp off margins for some operators, per industry commentary. ([source](#))
- **K-shaped segment divergence-** Economy hotels logged 18 consecutive months of RevPAR decline through 2025, even as luxury properties kept capturing rate and demand gains. ([source](#))